

9:00 9	26CV492358	Raymond Avina et.al. vs. Sharon Armstrong	Plaintiff moves this court for trial preference under CCP 36(a). Defendant argues that Plaintiff fails to meet both elements of the code. Plaintiff is over 70 years old. Defendant concedes the first element that party has a substantial interest in the action as a whole. Defendant argues that Plaintiff has not presented evidence that the "health of the party is such that a preference is necessary to prevent prejudicing the party's interest..." (CCP 36(a)). The court agrees that such evidence has not been forthcoming. Plaintiff's motion is DENIED. CASE TO BE HEARD AT 10:30. IF CASE IS CONTESTED, CASE WILL BE CONTINUED FOR ORAL ARGUMENT.
9:01 1	23CV412865	Onemain Financial Group vs. Ajanay Walker	Defendant moves for exemption from wage garnishment. Plaintiff objects. Court needs oral argument to determine amount of wage garnishment. CASE TO BE HEARD AT 10:30. THIS CASES WILL BE CONTINUED.
	21CV384369	Comerica Bank vs. Stanley McIntyre	Defendant moves for exemption from wage garnishment. No objection was filed. Defendant's motion is GRANTED. CASE TO BE HEARD AT 10:30. IF CASE IS CONTESTED, CASE WILL BE CONTINUED.

Calendar Line 3

Case Name: *Xiaowei Guan et al. v. Lu Zhipeng et al.*

Case No.: 25CV467677

Plaintiff Xiaowei Guan ("Guan") moves for leave to amend to file a second amended complaint (the "SAC"). According to Guan, the proposed SAC "contains a number of minor, non-substantive word changes and replacements"; factual allegations supporting causes of action against Defendant Jia Sun ("Sun"); changes made regarding Defendant Hao Chen ("Chen") and Chen's activities related to Defendants Skyline Development, Inc. ("Skyline") and Lusso, Inc.; separates the first amended complaint's (the "FAC") first cause of action into two causes of action; and removes Defendant Bank of America Corporation and the related twelfth cause of action. (Memorandum of Points and Authorities in Support of Motion for Leave to Amend ("MPA"), pp. 3:26-4:16.) Chen opposes Guan's motion.

The court GRANTS Chen's request for judicial notice of the original complaint filed in this matter, Chen's demurrer to this complaint, the FAC, and Chen's demurrer to the FAC. (Request for Judicial Notice in Support of Motion for Leave to Amend, p. 2:4-9; Evid. Code, § 452, subd. (d) ["Judicial notice may be taken of . . . [r]ecords of (1) any court of this state . . ."].)

Code of Civil Procedure section 473 "permits the trial court in its discretion to allow amendments to pleadings in the furtherance of justice. Ordinarily, courts should 'exercise

liberality’ in permitting amendments at any stage of the proceeding.” (*Hulsey v. Koehler* (1990) 218 Cal.App.3d 1150, 1159, internal citations omitted.) “While a motion to permit an amendment to a pleading to be filed is one addressed to the discretion of the court, the exercise of this discretion must be sound and reasonable and not arbitrary or capricious. And it is a rare case in which a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case. If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (*Morgan v. Superior Court of Los Angeles County* (1959) 172 Cal.App.2d 527, 530 (*Morgan*), internal citations and quotation marks omitted.) Prejudice exists where the amendment would require delaying the trial, result in the loss of critical evidence, add costs of preparation, or increase the burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-488.)

First, the court is not persuaded by Chen’s argument that the proposed SAC fails to state a cause of action. (Opposition to Motion for Leave to Amend Answer (“Opposition”), pp. 12:7-14:14.) While Chen cites precedent indicating that denial of leave to amend is appropriate where the proposed amended pleading fails to state a cause of action, the court ultimately finds that Chen’s demurrer-type arguments regarding the sufficiency of the allegations are inappropriate on a motion for leave to amend. (*Id.* at p. 12:8-12, citing *Foroudi v. The Aerospace Corp.* (2020) 57 Cal.App.5th 992, 1000-1001; see *Morgan, supra*, 172 Cal.App.2d at p. 530 [“[I]t is a rare case in which ‘a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case.’ If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend . . .”].)

Second, the court is not persuaded by Chen’s sham pleading doctrine argument. (Opposition, pp. 10:25-12:6.) The court reiterates that courts generally do not consider the validity of proposed amendments to a pleading on a motion for leave to amend. (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048 [“[T]he preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings.”], internal citation and quotation marks omitted; *Atkinson v. Elk Corp.* (2006) 109 Cal.App.4th 739, 760-761 [the “better course of action” is to allow amendment “and then let the parties test its legal sufficiency in other appropriate proceedings.”], internal citation omitted.)

Third, the court is not persuaded by Chen’s argument that Guan’s motion omits “the required facts showing due diligence and a reasonable investigation.” (Opposition, p. 8:5-6.) In support of this argument, Chen cites authority discussing the delayed discovery rule as it applies to statutes of limitation arguments. (*Id.* at p. 7:14-25 [“Borrowing from related cases discussing the ‘discovery rule’ and statutes of limitations . . .”], citing *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808-809.)¹ Chen, however, does not provide the court with any authority

¹ Chen also argues that the court may consider “such factors as whether the pleading states facts which could have been pleaded earlier, and whether the moving party has established a

indicating that this authority also applies to a motion for leave to amend under Code of Civil Procedure section 473. Relatedly, Chen does not provide the court with any authority that would require counsel for Guan to provide “admissible, personal knowledge as to *who* supposedly ‘discovered’ ‘an email or text,’ and how they did so, and why and how they could not have discovered it sooner if a reasonable investigation been performed. No email or text is appended to the moving papers, and none has ever been identified in discovery despite multiple sets which would have elicited it.” (Opposition pp. 8:14-9:12, emphasis original.)

Chen cites California Rules of Court, rule 3.1324(b), which does require a declaration accompanying a motion for leave to amend that states when the facts giving rise to the amended allegations were discovered and the reasons why the request for amendment was not made earlier. (Opposition, p. 7:9-13; Cal. Rules of Court, rule 3.1324(b)(3)-(4).) The Declaration of David R. Socher (the “Socher Declaration” or “Socher Decl.”) states that a “new allegation was added . . . describing Defendant Hao Chen’s promise to Plaintiff Xiaowei Guan to sign a separate agreement using Hao Chen’s personal real property and/or to sell his own personal property in order to repay Loan #2, discovered in an email or text from Defendant Hao Chen to Plaintiff Xiaowei Guan after the FAC had been filed.” (Socher Decl., ¶ 11; see also *ibid.* [“Additional factual allegations were added at page 10, paragraphs 47, 48 and 49 that Defendants Hao Chen and Lusso, Inc. used employees of Lusso, Inc. to set-up and operate the Valore, Inc. entity; and for a constructive trust over any Valore, Inc. assets improperly transferred to, or held by Defendants Hao Chen and/or Lusso, Inc. This information was discovered after the FAC was filed.”].) The Socher Declaration further states that Socher filed the FAC in December 2025, Socher realized in January 2026 that Socher had “inadvertently” omitted alleged facts regarding Sun from the FAC, Socher began drafting the proposed SAC in April 2026, “communication was sometimes slow” between Guan and Socher because Guan is a “native Chinese speaker” and Socher does not speak Chinese, Socher had completed a draft of the proposed SAC by June 2026, in June 2026 the court continued the hearing on Chen’s demurrer to the FAC, and Socher filed the present motion for leave to amend in August 2026 following communications between counsel. (Socher Decl., ¶¶ 4-10, 12-14.) The court finds that these statements comply with California Rules of Court, rule 3.1324(b)(3) and (4).

Fourth, Chen argues that Guan has failed to justify any delay associated with Guan seeking leave to amend. (Opposition, pp. 9:22-10:24.) Chen contends that Guan is “trying to continually move the target for Chen which the California courts agree should not be tolerated. There is no plausible, credible explanation for Plaintiff’s vacillation between allegations in avoidance of Chen’s demurrers.” (*Id.* at p. 10:21-24.) According to Chen, unreasonable “delay may be found where a plaintiff seeks leave to amend only after the defendant files a motion challenging the complaint, which the proposed amendment seeks to avoid based on alleged facts

reasonable excuse for the delay.” (Opposition, p. 7:21-25, citing *Emerald Bay Community Association v. Golden Eagle Ins. Corp.* (2005) 130 Cal.App.4th 1078, 1097 (*Emerald*).) In *Emerald*, the plaintiff filed a “*posttrial* motion to amend the complaint.” (*Emerald, supra*, 130 Cal.App.4th at p. 1097, emphasis added.)

known to the plaintiff.” (*Id.* at p. 10:8-16, citing *Champlin/GEI Wind Holdings, LLC v. Avery* (2023) 92 Cal.App.5th 218, 224 (*Champlin*), *Melican v. Regents of Univ. of California* (2007) 151 Cal.App.4th 168, 182 (*Melican*).)

Ultimately, the court is not persuaded by this argument. *Champlin*, and *Melican* are distinguishable. In *Champlin*, the Court of Appeal held that a “party cannot avoid summary judgment by relying on theories that are not alleged in the pleadings.” (*Champlin, supra*, 92 Cal.App.5th at p. 224, internal citation omitted.) Similarly, the Court of Appeal in *Melican* held that the plaintiffs “never sought to add the claim until they made their oral request during the summary judgment hearing over five years later. . . . It would be patently unfair to allow plaintiffs to defeat [the defendant’s] summary judgment motion by allowing them to present a ‘moving target’ unbounded by the pleadings.” (*Melican, supra*, 151 Cal.App.4th at p. 176.) Here, Guan filed the initial complaint in this matter roughly fifteen months ago, the Socher Declaration states that the newly alleged facts related to Chen were discovered after the FAC was filed, no summary judgment or adjudication motion is pending, and it appears that a trial date has yet to be scheduled.

Finally, Chen argues that Chen will suffer prejudice. (Opposition, pp. 14:15-15:1.) The court is not persuaded by Chen’s argument that leave to amend is prejudicial because Chen “would be effectively saddled with the burden of trying to defend claims properly made only as against Skyline. More than 15 months have passed which means that key evidence in the possession custody or control [sic] of Skyline has more than probably lost, along with the memories of witnesses.” (*Id.* at p. 14:24-15:1.) This case is roughly fifteen months old, it appears that no trial date has been set, and the court ultimately finds that the public policy favoring liberally allowing amendments to pleadings weighs in favor of granting the motion. The fact that the partes will need to continue litigating this case and conduct additional discovery is insufficient to show prejudice.

The court GRANTS Guan’s motion for leave to file the proposed SAC. Guan shall file and serve the proposed SAC within 10 days of this order.

Calendar Line 4

Case Name: *Zarghami v. Falaha*

Case No.: 25CV474036

According to the allegations of the first amended complaint (“FAC”), plaintiff Mohamad H. Zarghami (“Plaintiff”) and defendant Sara Falaha (“Defendant”) were married and share a minor child, and are parties in the Family Law matter *Falaha v. Zarghami* (Super. Ct. County of